Overview of the rules of Attribution

When money is gifted to a spouse or common-law partner and the recipient spouse or common-law partner uses that money for an investment purpose, that transaction will be subject to the rules of attribution for tax purposes. Similarly, if property is transferred to a spouse or common-law partner and in return, the transferor receives any amount below the fair market value of the property, attribution will result.

In other words, any *property* income or losses (i.e. interest, dividends, rents and royalties) and any capital gains and capital losses earned by the recipient spouse or common-law partner will not be taxed in his or her hands but rather, will be attributed to the transferor spouse or common-law partner.

Example Kerri gave her common-law partner Richard $10,000 as a gift. Richard used the funds to invest in a Canadian bond mutual fund that pays quarterly interest distributions and an annual capital gains distribution. Since Richard used the funds for an investment purpose, any property income (i.e. the interest distributions) will not be taxed in his hands but rather, will be attributable to Kerri. Moreover, the annual capital gains distribution and the potential capital gain or capital loss Richard may realize when he ultimately disposes of his units of the mutual fund will also be attributable to Kerri.

Rules of Attribution and the TFSA

A TFSA can only be registered in an individual name which means joint accounts and spousal accounts are not permitted. So, what happens if an individual wants to setup a TFSA for his or her spouse or common-law partner and make ongoing contributions to that account? Moreover, what are the tax implications when the source of funding for the TFSA is a gift or transfer of property from one spouse or common-law partner to another?

One of the most attractive features of the TFSA from a planning perspective is based on the fact gains within the account do not attract any tax liability. This makes the issue of attribution a moot point. It clears the way for one spouse or common-law partner to fund the contributions to the TFSA of the other spouse or common-law partner without negative tax implications on the growth that takes place within the TFSA.

Concerns about attribution typically play a major role in the financial planning process. However, when it comes to the TFSA, this concern is eliminated.

TFSA Withdrawals

Funds can be withdrawn from a TFSA at any time and for any purpose and typically, withdrawals will not trigger tax implications.

The amount of eligible withdrawals made from an account in a given year is added back to the contribution room of the holder at the beginning of the *following* year. The significant benefit derived from the restoration of contribution room after an eligible withdrawal is clear.

This said, care must be taken to avoid contributing more than the permissible amount to a TFSA particularly in a year when an eligible withdrawal has been made. While the amount of this withdrawal will increase the account holder's contribution room, the increase will not take effect until the beginning of the next year. This means, if an individual has already maximized his or her contribution for the current year, no further contributions are permitted this year (without penalty) even following an eligible withdrawal.

Example Sonali invested $7,000 in a TFSA this year. Later in the year, she withdraws $1,000 to cover some unexpected car repairs. Sonali has maximized her contribution for the current year and therefore, she cannot make any further contributions to the account this calendar year (without incurring a penalty) calculated as (TFSA dollar limit – contributions for current year) or ($7,000 – $7,000).

Although, Sonali's withdrawal of $1,000 will increase her contribution room, the increase will not take effect until the beginning of next year. Assuming no further withdrawals are made this year, next year, Sonali's contribution room will amount to $8,000 calculated as (TFSA dollar limit for next year + unused contribution room from this year + eligible withdrawals from this year) or [$7,000 + ($7,000 – $7,000) + $1,000].

Qualifying transfer

A qualifying transfer is excluded from the definition of an eligible TFSA withdrawal and therefore, when made, a qualifying transfer will not restore contribution room to the account holder. It refers to:

- a direct transfer between TFSAs of the same holder
- withdrawals made to reduce or eliminate an excess contribution
- the amount transferred directly to a spouse or common-law partner resulting from the division of property on the breakdown of a relationship
- *exempt* contributions made by a surviving spouse or common-law partner of a deceased TFSA holder following a payment received by the surviving spouse or common-law partner from the TFSA of the deceased holder

- Impact of Withdrawals on Benefits and Credits
- In most situations, withdrawals from an RRSP or a RRIF must be reported as part of the total income of the annuitant for the year and this amount will be subject to taxation at his or her marginal tax rate. The inclusion of this income can have implications on other benefits which the individual may otherwise have been eligible to receive.
- With a TFSA, neither income earned within the account nor withdrawals made from the account typically carry any tax implications. Consequently, withdrawals can generally be made without concern.

- *Implications for seniors*
- In virtually all cases, the impact of a senior's income on his or her benefit entitlements plays a prominent role when developing a retirement plan. For example, a planner is always cognizant of the income level of a senior as it relates to triggering the clawback of OAS and GIS benefits. The planner must also be mindful of a senior's income as it may impact the senior's ability to claim tax credits including the GST credit, the age amount and the spouse or common-law partner amount.
- From the perspective of a senior, withdrawals from a TFSA will not have any bearing on his or her eligibility for federal income-tested benefits and tax credits. Therefore, the impact of TFSAs for a senior is straightforward: contributions and withdrawals can be made without concern.

- *Implications for other individuals*
- Aside from seniors, other individuals can also make TFSA withdrawals with peace of mind. Withdrawals do not affect an individual's ability to claim tax credits such as the Canada Child Tax Benefit or the Working Income Benefit for low-income taxpayers. In the same way, other

income tested tax credits such as the Caregiver Amount and the Infirm Dependent Amount are not impacted by withdrawals. Qualifying for EI benefits will not be affected by the TFSA either.

Tax Implications

As part of the bigger financial planning picture, the tax implications of a potential investment are clearly, a critical factor. In Canada, income is taxed in different ways depending on its nature and source:

- interest income and foreign dividend income: the entire amount earned must be included as part of the recipient's total income for the year where it will be subject to taxation at his or her marginal tax rate
- Canadian dividend income: provided it is received from a taxable Canadian corporation, it is taxable however, to varying degrees, it does receive preferential treatment based on the dividend gross-up and credit mechanism
- capital gains: If net capital gains is less than $250,000 then 50% of the net capital gain is taxable, otherwise if the net capital gain exceeds $250,000 then the excess is 66.67% taxable and must be included as part of the recipient's total income for the year where it will be subject to taxation at his or her marginal tax rate

Notwithstanding it currently only applies to relatively small amounts, the introduction of the TFSA alleviates the concern about the tax implications of investment income. As its name suggests, any growth within a TFSA is not subject to taxation even if this growth is subsequently withdrawn from the account.

In this sense, the TFSA offers a significant advantage over other savings vehicles:

- non-registered account (e.g. a bank account, an investment account): interest and dividends must be reported on an annual basis for tax purposes; capital gains must be reported when realized
- registered account (e.g. RRSP, RRIF, RPP): all growth is *tax-deferred* (not *tax-free*)—there are no tax implications on the growth while funds remain in the registered plan however, whatever amounts are withdrawn or paid out, are fully taxable as income (i.e.100% taxable)

Taxable events with a TFSA

While growth in a TFSA is not taxable under normal circumstances, there are some situations where a tax liability may be incurred including:

- where a contribution in excess of the holder's TFSA contribution room has been made
- where a non-resident of Canada makes a TFSA contribution
- where an ineligible investment is held within the TFSA
- with a trusteed TFSA, the income earned in the account and paid to a beneficiary during the exempt period must be included in the income of the beneficiary

Breakdown of a Relationship

In the event of a breakdown of a marital or common-law partner relationship, a direct transfer of property from the TFSA of one former spouse or common-law partner to the TFSA of the other former spouse of common-law partner is permitted.

As with other transfers of this nature, the former spouses or former common-law partners must be living separate and apart at the time of the transfer and the former spouses or former common-law partners are entitled to receive the amount:

- under a decree, order or judgment of a court or, under a written separation agreement; *and*
- to settle rights arising out of the relationship on or after the breakdown of the relationship.

The transferred amount does not reduce the recipient's eligible contribution room however, since such a transfer is not considered an eligible withdrawal, the transferred amount is not added back to the transferor's contribution room at the beginning of the following year.

Example Magda and Roman have just undergone a divorce. As part of a court ordered settlement, Roman was instructed to transfer a total of $200,000 to Magda. Most of the funds will be transferred from Roman's RRSP directly into Magda's RRSP. However, so Magda will have funds she can use as an emergency cash reserve, Roman has also agreed to transfer $5,000 from his TFSA directly into Magda's TFSA. Since this situation involves a qualifying transfer rather than, an eligible withdrawal, the amount transferred will not be added to Roman's TFSA contribution room for next year. For Magda, receipt of the settlement will not affect her TFSA contribution room.

Death of TFSA Holder

On death, generally, the holder of a TFSA is considered to have received, immediately before death, an amount equal to the fair market value of all the property held in the TFSA at the time of death. Unlike most other deemed dispositions on death, there are no tax implications based on the plan value. However, income earned in the TFSA following the death of the holder must typically be reported by the beneficiary in the year it is received.

Spouse or common-law partner is sole beneficiary

If the spouse or common-law partner of the TFSA holder has been named as the sole beneficiary in the TFSA contract, the TFSA holder is not deemed to have received the fair market value of the account at death. Instead, the TFSA continues and the surviving spouse or common-law partner becomes the *successor* holder. The tax exempt status of the account is retained and the contribution room of the surviving spouse is not impacted.

Other beneficiary designations

If an individual other than a spouse or common-law partner is designated as the beneficiary of the account or no beneficiary is named, it will no longer be considered a TFSA. In this case, the assets in the account become part of the estate of the deceased holder. If the will of the deceased holder bequeaths the TFSA assets to the holder's surviving spouse or common-law partner or if the surviving spouse or common-law partner is the only beneficiary of the estate, the surviving spouse or common-law partner can contribute the proceeds of the TFSA to his or her own TFSA as an *exempt contribution*. The contribution room of the surviving spouse will not be affected by this exempt contribution provided it is done:

- within the exempt period (i.e. the period that begins as of the date of death of the account holder and ends on December 31st of the following year) *and*
- a *Designation of an Exempt Contribution Tax-Free Savings Account (TFSA)* (CRA Form RC240) is completed and filed within 30 days of the contribution (the form essentially designates the contribution as an exempt contribution)

An exempt contribution cannot exceed the fair market value of the TFSA assets as of the date the holder died and the payment received during the exempt period.

Example Marcia and Eric are married. This year, Marcia contributed $2,900 to her TFSA; Eric contributed the maximum $7,000 to his TFSA. When she opened the account, Marcia neglected to name a beneficiary on her TFSA contract and as a result, when she died earlier this year, the property in her TFSA became an asset of her estate. Eric is the sole beneficiary of Marcia's estate. With the $2,900 proceeds from Marcia's TFSA, he contributed the full amount to his own TFSA as an exempt contribution even though Eric has already maximized his contribution for this year. Eric's contribution room will not be affected because he made the contribution during the exempt period (i.e. before the end of next year) and because he will designate the contribution as exempt using Form RC240 and file it within 30 days of the contribution.

Where a spouse or common-law partner is not named as the beneficiary of the TFSA or where the spouse or common-law partner is not named as the sole beneficiary, the account will not lose its tax exempt status until the *earlier* of two events:

- the assets are paid out to the beneficiaries and the account ceases to exist *or*
- the expiration of the exempt period (i.e. the period that begins as of the date of death of the account holder and ends on December 31st of the following year)

Any income earned during the exempt period that is paid to the beneficiaries, in this instance, including a spouse or common-law partner (i.e. the survivor), will be taxable in the hands of the beneficiaries. Earnings accrued prior to the death of the account holder are not taxable.

Example At the time of Audrey's death in August of this year, the fair market value of the assets in her TFSA was $5,750. Assuming the proceeds of the TFSA are distributed to her daughter in April of next year and by that time, the plan value has increased to $7,100, Audrey's daughter must report taxable income of $1,350 calculated as [the *greater* of $0 and (value of TFSA at time of distribution - FMV at time of death)] or [the *greater* of $0 and ($7,100 - $5,750)].

Beneficiary Designation

Provincial legislation dictates whether or not a beneficiary designation can be made on a TFSA. Many jurisdictions have already accounted for this provision however, given the relative newness of the TFSA, other jurisdictions are still working towards that end.

The issue of a beneficiary designation is important. Examples of vehicles that enable a beneficiary to be named include a life insurance policy, a registered pension plan, an RRSP and a RRIF. Where a beneficiary (other than the estate) has in fact been named on such plans, the assets in the plan will not form part of the estate of the deceased owner. Rather, the assets will bypass the estate and flow directly to the named beneficiary. By doing so, one of the many benefits is that the assets will not be subject to probate fees.

Again, subject to provincial legislation, upon the death of the account holder, it is likely that assets in a TFSA where a beneficiary has been designated will not form part of the estate of the deceased holder.

Non-residents of Canada

The literal interpretation of a non-resident of Canada is an individual who no longer lives in the country. However, it is possible for an individual to live outside Canada yet, still be deemed a resident if that individual maintains significant ties to the country. Whether or not an individual meets the 'significant ties' test is to some extent a subjective interpretation by the CRA. However, in making their determination, they will look for ties that typically include a spouse or common-law partner or dependants, a residence, a bank account and provincial or territorial hospitalization insurance among other factors.

With respect to the TFSA, an individual who becomes a non-resident of Canada may keep his or her existing TFSA in force and can continue to enjoy the tax-free benefits on the income earned in the account and on any withdrawals that are made. However, further contribution room will not accrue for any year throughout which the holder is a non-resident. Also, withdrawals made during the period of non-residency will be added to the unused TFSA contribution room of the holder in the following year but, will only be available if the holder resumes his or her residency status in Canada.

Example Nathalie established a TFSA in January of this year and contributed $3,500 to the account. However, in May, Nathalie received confirmation that her long-standing application for residency in the United States had finally been approved. Later that month, she moved to California. Even though, Nathalie is now a non-resident, she can keep her TFSA in force and continue to enjoy its tax exempt status. However, she will not be permitted to make further contributions to her account this year (without incurring a penalty) even though she still has unused contribution room of $3,500 calculated as (TFSA contribution room – TFSA contributions) or ($7,000 – $3,500). In December of this year, Nathalie withdraws $1,000 from her TFSA.

Next year, during which time Nathalie will continue to reside in California, Nathalie's TFSA contribution room will be $1,000 calculated as (TFSA contribution room during non-residency + eligible withdrawals from previous year) or ($0 + $1,000). However, Nathalie will not be able to take advantage of her contribution room unless she resumes her residency in Canada.

Any contributions made while the account holder is a non-resident will be subject to a 1% per month penalty tax on the amount contributed for each month ending the *earliest* of:

- the date the non-resident contributions are withdrawn from the TFSA and designated as such *or*
- the date the account holder resumes his or her Canadian residency

- Common Uses of a TFSA
- Its flexibility and its relevance across the entire population spectrum are just two of the many reasons that account for the popularity of the TFSA and why it has received such rave reviews since its introduction. Examples of just how flexible the plan is and how the TFSA may be used by your clients are addressed below:
- *'Rainy day' fund*
- A TFSA is perfectly suited as an emergency reserve fund. For this reason alone, all eligible individuals should establish a TFSA.
- *Low income individuals*
- Conceptually, the TFSA was designed for individuals with relatively low incomes throughout their working years and into retirement. People in this situation would receive minimal marginal tax value by making RRSP contributions while working. Although they would enjoy the benefits

of tax deferral while the funds remained in the plan, they would ultimately be taxed on withdrawals from the RRSP or RRIF during retirement.

- Moreover, this income stream at retirement could potentially reduce or eliminate certain income-tested social welfare benefits as well as preclude the person from claiming certain tax credits. In contrast, the TFSA enables individuals in this situation to build retirement savings without worrying about tax implications and its impact on retirement entitlements.

- *Where RRSP contributions have been maximized*
- For those who maximize their RRSP contributions each year, the TFSA provides an alternate tax-advantaged savings vehicle. In fact, the TFSA goes beyond *tax deferral*; it is *tax-free*.

- *Parents who wish to help their adult children*
- Parents who wish to help a child acquire a home or some other major purchase can use their own TFSA or contribute directly to the TFSA of the child to accomplish this objective.
- Whether done as a gift or a loan, in the case of a married child, proper documentation should be maintained and thought should be given as to whether or not these funds should be comingled with the other family assets of the married child and his or her spouse or common-law partner. Parents would likely want to ensure the TFSA does not become part of the community property that is subject to division in the event of a breakdown in the relationship of their married child.

- *Parents seeking to establish a large education savings pool for a child*
- Particularly—but, certainly not exclusively—where above average schooling costs are anticipated (e.g. for medical school, grad school or an Ivy League education), saving within an RESP alone will likely be insufficient despite the many benefits garnered through that vehicle. Parents could augment RESP savings within their own TFSAs while the children are young and could then contribute directly to the TFSAs of their children after they attain age 18. Bear in mind, once in the child's TFSA, the parents no longer have control or any legal entitlements to the contributed funds.

- *Individuals saving for a large expenditure*
- For an individual saving for a car, a dream vacation, a wedding, the purchase of a home or any short- to mid-term expenditure, the TFSA should be considered. Theoretically, the TFSA can serve as a 'one-stop shop' given that funds accumulated in the plan can be used for any purpose. In many cases, multiple single purpose vehicles can now effectively be consolidated into one multi-purpose TFSA (subject to the unique merits of each single purpose plan of course). The drawback with the TFSA at this moment and time and for the next several years is the relatively low contribution room.

- *Spouses or common-law partners with disparate levels of income*
- With a few exceptions, CRA does not generally view income splitting in a positive light. The income attribution rules severely restrict the ability of spouses and common-law partners to transfer income from the individual in a high marginal tax bracket to the individual in a low marginal tax bracket in an attempt to reduce the cumulative tax liability of the couple. However, annual TFSA contributions for the lower income earning spouse or common-law partner can be funded by the higher income earning spouse without concerns about attribution.

- *To cover taxes and final expenses on death*
- Traditionally, the tax liability due on death and other final expenses have been funded either through the liquidation of estate assets or from some form of life insurance. The TFSA can now be added to the list as an alternate method of funding liabilities on death. Again, the fact the

TFSA is still in its infancy, it will take some time before a meaningful amount of funds can be accumulated to serve this purpose but nevertheless, it is a valid use of the account.

TFSA Compared to an RRSP

With the introduction of the TFSA, questions have been raised as to what role it should play among all other savings vehicles that are available to Canadians most particularly, in relation to the RRSP.

Advantages and disadvantages of an RRSP

Historically, as far as long-term savings plans are concerned, the RRSP has been at the forefront given that it:

- is widely available to most Canadians (provided they have earned income) and technically, there is no minimum age restriction for an RRSP
- offers generous maximum annual contribution limits each year that are indexed; also, unused contribution room is not lost but, can be carried forward to a future year
- permits the annuitant (or the contributor in a spousal plan) to claim an immediate tax deduction following an eligible contribution; the deduction claim can also be deferred to a later date if it is more advantageous to do so
- allows funds to accumulate on a tax-deferred basis for as long as they remain in the plan
- enables the refund of premiums following the death of an RRSP annuitant to be rolled over to the RRSP or RRIF of his or her surviving spouse or common-law partner (and in specific cases, to a financially dependant child or grandchild) subject to certain conditions. This is a significant advantage as it means the tax liability normally associated with a deemed disposition on death, is deferred to the eventual death of the surviving spouse or common-law partner.
- provides for spousal contributions which can be a valuable income-splitting strategy

Despite these significant advantages, there are also disadvantages to holding funds in an RRSP including:

- contributions can only be made if an individual has earned income in the previous year
- there is an annual deadline by which contributions must be made if the annuitant (or the contributor in a spousal plan) intends to claim the deduction for the current tax year
- contributions to other savings vehicles such as an RPP or a DPSP will reduce an individual's RRSP contribution room
- there is a maximum age by which the funds must be withdrawn from an RRSP or transferred to a vehicle that begins paying an income stream: the end of the year in which the annuitant turns 71 years of age
- the retirement income stream represents taxable income to the annuitant. Theoretically, the annuitant should be in a low marginal tax bracket because he or she is retired but nevertheless, it remains taxable income.
- under most circumstances, a withdrawal from an RRSP must be included—in its entirety—in the total income of the annuitant (or possibly in the income of the contributor for withdrawals from a spousal RRSP); withdrawn funds are taxed as income (i.e. 100% inclusion rate)
- barring a rollover to an eligible individual, on death, a deemed disposition based on the fair market value of the RRSP assets takes place; this amount is fully taxable as income on the final return of the deceased annuitant

How a TFSA compares to an RRSP

In response to the advantages and disadvantages of an RRSP listed above, how does a TFSA compare?

- the account holder under a TFSA must have attained age 18 however, there is no maximum age by which the plan must be terminated
- contributions to a TFSA are not based on the income of the account holder but rather, on an indexed amount that applies to all individuals
- the TFSA dollar limit is currently set at a relatively modest level of $7,000 and will only be periodically raised in increments of $500 based on an indexing calculation; the maximum annual RRSP contribution limit is considerably higher
- there is no contribution deadline *per se*; unused contributions are carried forward
- contributions to an RRSP an RPP or any other vehicle will not affect the contribution room to a TFSA
- the amount of eligible withdrawals are added to the contribution room for the following year
- the TFSA does not permit a tax deduction for contributions however, withdrawals, under most circumstances are not subject to taxation; growth in the TFSA is tax-free not just tax-deferred
- on death the assets in the TFSA are not taxed and a surviving spouse or common-law partner can become a successor holder; growth following the death of the account holder may be taxable to beneficiaries where there is no successor holder
- the TFSA cannot be setup as a spousal plan however, contributions can be made to the TFSA of a spouse without income attribution implications
- the TFSA can be used as collateral for a loan

TFSA vs. RRSP

One of the questions planners are faced with is 'is it better to contribute to an RRSP or should the funds be allocated to a TFSA?' The fact of the matter is that for most individuals it is not a case of 'either or' but rather, a case of incorporating both plans into the mix such that together, they yield the maximum possible benefits for a client.

The essential difference between the TFSA and the RRSP revolves around the tax implications of both plans: a deduction can be claimed for RRSP contributions; withdrawals from a TFSA are not taxable. So, when comparing the relative merits of these vehicles, a key consideration will be the marginal tax rate (MTR) at the time the annuitant makes an RRSP contribution (for which he or she can claim a tax deduction) and the MTR at the time the annuitant withdraws funds from the RRSP or RRIF (which will be taxable income). The other factor to keep in mind is what is done with the tax refund generated by claiming an RRSP deduction.

The table highlights some rules-of-thumb that may assist a planner in determining whether the TFSA or the RRSP is better suited for his or her client. Keep in mind, these are only guidelines and the unique circumstances that relate to each individual must be taken into

If the MTR for RRSP contributions is...	...& the MTR for RRSP withdrawals is...	...the following plan is more advantageous
approximately the same		no preference as to TFSA or RRSP
higher	lower	RRSP
lower	higher	TFSA

Scenarios where the TFSA is preferable

The TFSA may also be preferable to an RRSP (or may be the only choice) in situations where an individual:

- has a short- to mid-term savings goal and he or she is certain the money will in fact be used to fund an expenditure at that time. Contributing to an RRSP in such a scenario does not make sense given the negative tax implications that will result upon withdrawal of the funds.
- has just recently joined the workforce and has a relatively low income and little in the way of savings
- is approaching retirement and has little or no retirement savings or pension entitlements. Contributing to an RRSP at that stage and then having to withdraw the funds from the plan as taxable retirement income could trigger a clawback of GIS benefits. Keep in mind, the income level cutoff for GIS benefits for a single individual is a modest amount (approximately $18,600) so, it will not require much income for an individual to have his or her entire benefits clawed back. By contributing to a TFSA, any funds withdrawn from the account will not impact income-tested benefits. Finally, the flexibility of the TFSA compared to an RRSP gives it an advantage under this situation.
- is at a point where continuing to contribute to an RRSP will build the account value such that annual minimum withdrawals from a RRIF (assuming the RRSP assets are eventually transferred into that plan) will be high enough to trigger the clawback of OAS benefits
- tends to spend rather, than reinvest, the tax refund received as a result of claiming an RRSP deduction
- is in his or her 72nd year or older and is therefore, ineligible to be an annuitant under an RRSP
- has maximized his or her RRSP contribution room

Striking a balance between the TFSA and the RRSP

As stated earlier, ideally, the TFSA and the RRSP should be used in a way whereby, they compliment each other as opposed to competing with each other. This means, where possible a client should maximize contributions to both plans.

The common belief is that an individual will be in a lower marginal tax bracket during retirement compared to his or her working years. If this is in fact the case, generally, an RRSP would be the vehicle of choice for long-term savings particularly given the disparity in maximum contribution limits between the RRSP and the TFSA.

However, an individual earning a low income who makes an RRSP contribution may actually be doing so to his or her detriment. The rationale for this is that this individual may face a higher tax rate at retirement upon receipt of government benefits such as CPP, OAS and GIS which in turn, may impact his or her ability to claim tax credits such as the age amount.

Studies have shown, in the best case scenario, an individual would like to have retirement income, including RRIF income, that is between approximately $15,000 to $31,000 (in today's dollars). This will ensure he or she will be in the lowest marginal tax bracket at retirement and will not be subject to a clawback of social benefits.

To ensure this retirement income is kept low, it means contributions should be made to an RRSP only to the point where it reaches a modest level (i.e. approximately $350,000 in today's dollars). Any further retirement savings should be done via a TFSA.

For the ensuing years, the obstacle to such a strategy is the low TFSA dollar limit however, as the dollar limit increases, this option will become more viable.

Most importantly, most studies conclude that instead of choosing one plan over another, both the TFSA and the RRSP should be incorporated into the financial planning process for a client.

Review

Let’s look at the concepts covered in this unit:

- Registered Retirement Savings Plans (RRSPs)
- RRSP Contributions and Retiring Allowances
- Pension Adjustments (PA)
- Spousal RRSPs
- Home Buyers' Plan (HBP)
- Lifelong Learning Plan (LLP)
- Tax-Free Savings Accounts (TFSAs)

You should now have a good understanding of RRSPs and TFSAs concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed RRSPs and TFSAs, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

Go to Assessment

Module 10

Retirement Decisions

Welcome to the unit, Retirement Decisions.

After completing this unit, you will be familiar with the following concepts:

- Choosing the Age of Retirement
- Choosing Retirement Benefit Options

- Choosing the Age of Retirement
- Welcome to the lesson, Choosing the Age of Retirement.

- Making the Decision to Retire
- Life expectancies have steadily increased over the past few decades, such that individuals at age 65 are often very healthy and vibrant and still able to make significant contributions to the work force. However, more people than ever are choosing, or hoping, to retire before age 65, even as early as age 55. Thus, the average length of time over which a retirement income must be provided has increased significantly.
- Today's older baby boomers are now passing age 50 and many of these individuals are contemplating their future retirement. Many of these same individuals have no clear understanding of when they can realistically retire or how much money they need to save to reach their retirement objectives.
- Throughout this lesson, you will work with a case study depicting the situation of Don and Elise Carter. It is designed to explore some of the options available to a couple approaching retirement.
- Should they retire earlier, but with less retirement income, or should they delay retirement so that they can increase the standard of their retirement lifestyle?
- Are they willing to make a trade-off between maintaining their current lifestyle and working to achieve their retirement objectives?
- By using retirement planning software or the services of a retirement planner, they can examine a number of different scenarios before making their decision.

- The Basic Facts
- Don and Elise Carter are considering their retirement. Don is 50 years and Elise is 48 years old; both Don and Elise are employed.
- Don currently makes about $62,000 per year, which includes bonuses and overtime pay. He has been a member of his employer's final earnings, defined benefit pension plan for the last 15 years, and his current pensionable earnings are $55,000. He will be eligible for an unreduced pension at age 55, although at that time it will be based on only 20 years of service. For earnings below the YMPE, his pension will amount to 1.3% of pensionable earnings per year of service and 2% for earnings above the YMPE.
- Don expects that his pensionable earnings will increase by an average of 4% per year, while his total earned income will rise by 6% per year, as bonuses and overtime pay continue to play an increasingly important role in his income.
- Elise currently earns a salary of $45,000 per year, and she expects that this will increase by an average of 5% per year. She has been a member of her employer's defined contribution pension plan for a few years. Both she and her employer contribute 5% of her pensionable earnings to the

plan. Her pensionable earnings are equal to her earned income of $45,000. Her vested benefits currently total $32,000. Elise expects that the plan will continue to realize an average return of 8%. Upon retirement, Elise may choose to use the savings to purchase an annuity or she may transfer the funds into a locked-in retirement account (LIRA).

- Both Don and Elise will be eligible for Canada Pension Plan and Old Age Security benefits when they turn 65 years of age.
- The Carters' children are now adults and the Carters do not have to worry about childcare or education expenses. They anticipate that they will fully repay their mortgage within the next year, after which time their housing expenses will be limited to property taxes, maintenance and utilities.
- Don currently has $45,000 invested in RRSPs, while Elise has $24,000. They expect that their RRSP investments will continue to earn an average return of 8%. Don has another $5,000 in tax-paid capital earning an average return of 8%.
- They want their retirement income at least partially to keep pace with inflation. They have assumed that the Consumer Price Index between now and retirement will increase each year by an average of 5%. In their retirement planning, they have set their inflation protection to 3% per year after retirement, decreasing to 2% per year when Don reaches age 70.

The Question

Don and Elise want to retire at the same time and are currently considering their options. Because both families have a history of longevity, they have decided that their retirement planning horizon should extend to the time that Elise would turn age 95 and Don turns age 97.

Although they have some idea of the lifestyle that they want to maintain after retirement, they are uncertain about whether they will be able to achieve that lifestyle, and what it means in terms of their retirement age and savings required. Ideally, they would like to be able to spend the equivalent of about $50,000 (in current dollars) per year, and retire as soon as possible, but they realize that this may require some significant trade-offs in terms of their current lifestyle expenditures. To help them with their dilemma, Don and Elise retained the services of a retirement planner to develop a number of retirement scenarios.

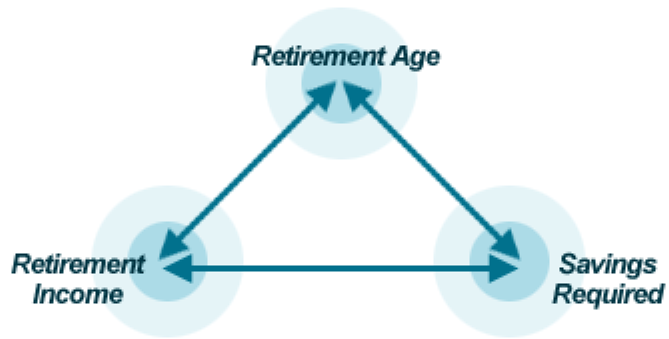
There are three main variables to be considered in any retirement plan:

- the age of retirement
- the income available after retirement
- the amount that must be saved to provide that income

Given any two of these variables, it is possible to calculate the third variable using retirement planning software.

Thus, their retirement planner might approach the age decision from one of the following three angles:

- If Don and Elise know when they want to retire and their desired retirement income, the planner can estimate how much they will have to save each year to achieve their objectives.
- If Don and Elise know how much they are willing to save each year, and when they want to retire, the planner can project what their retirement income will be.
- If Don and Elise know how much they are willing to save each year and their desired retirement income, the planner can project the age at which they can retire and meet their retirement income objectives.



Maximizing RRSP Contributions

Before undertaking any of the analysis, the planner suggested that Don and Elise commit to making the maximum allowable RRSP contributions because RRSP contributions are the most effective way of saving for retirement. Furthermore, he suggested that because Don will likely have the larger pension income, he should make his contributions to a spousal RRSP for Elise. Both Don and Elise felt that this was a reasonable suggestion, particularly in light of the fact that they expected their disposable income to increase significantly in the near future as their children moved away and their mortgage was paid off.

The maximum RRSP contributions, based on the Carters' earnings and pension information as discussed earlier, are shown in Schedule 1 Custom RRSP Savings Plan.

Schedule 1 shows the RRSP contributions if the Carters work until Don is 65 years of age. If they retire earlier, they will only be able to contribute to their RRSPs as long as they have earned income.

Schedule 1
Custom RRSP Savings Plan, Don and Elise Carter

Don Carter				Elise Carter			
Age	Earned Income	Maximum RRSP Contribution (to spousal RRSP)		Age	Earned Income	Maximum RRSP Contribution (to own RRSP).	
	$	$	as % of current Income		$	$	as % of current Income
50	62,000	4,100	6.61%	48	45,000	3,360	7.47%
51	65,720	4,323	6.58%	49	47,250	3,600	7.62%
52	69,663	4,745	6.81%	50	49,613	3,780	7.62%
53	$73,843	$5,199	7.04%	51	52,093	3,969	8%
54	78,274	5,690	7.26%	52	54,698	4,168	8%
55	82,970	6,217	7.49%	53	57,433	4,376	7.62%
56	87,948	6,787	7.71%	54	60,304	4,595	7.62%
57	93,225	7,399	7.93%	55	63,320	4,825	7.62%
58	98,819	8,057	8.15%	56	66,485	5,066	7.62%
59	104,748	8,764	8.36%	57	$69,810	$5,318	7.62%
60	111,033	9,526	8.57%	58	73,300	5,585	7.62%

61	117,695	10,343	8.78%	59	76,965	5,864	7.62%
62	124,756	11,220	8.99%	60	80,814	6,157	7.62%
63	132,242	12,162	9.19%	61	84,854	6,465	7.62%
64	140,176	13,173	9.39%	62	89,097	6,789	7.62%
65		14,258		63		7,127	

Fixed Retirement Income and Fixed Retirement Age

The Carters' retirement planner began by estimating the savings that would be required to achieve a retirement income ranging from $35,000 to $60,000 per year at retirement ages ranging Don reaching 55 to 65 years of age.

Schedule 2 Total Additional Savings Required includes the total additional savings required at retirement as tax-paid capital in addition to the RRSP contributions in Schedule 1 Custom RRSP Savings Plan.

Schedule 3 Annual Additional Savings Required includes the annual additional savings required until retirement as tax-paid capital in addition to the RRSP contributions in Schedule 1.

Note: The number of scenarios presented exceeds the level of detail that would be undertaken in a retirement planning engagement. However, this level of detail is useful for the discussion purposes of this lesson.

The savings specified in the following analyses refer to tax-paid capital in addition to the maximum RRSP contributions, as shown in Schedule 1.

Schedule 2
Total Additional Savings Required at Retirement as Tax-Paid Capital in Addition to the RRSP Contributions

Retirement Income	Don's Retirement Age					
(in current $)	55	57	59	61	63	65
$35,000	$22,105	$0	$0	$0	$0	$0
$40,000	$86,404	$14,464	$0	$0	$0	$0
$45,000	$150,732	$77,764	$0	$0	$0	$0
$50,000	$216,042	$138,872	$52,816	$0	$0	$0
$55,000	$285,499	$210,179	$128,275	$13,549	$0	$0
$60,000	$368,326	$298,436	$223,052	$111,389	$0	$0

Schedule 3
Annual Additional Savings Required Until Retirement as Tax-Paid Capital in Addition to the RRSP Contributions

Retirement Income	Don's Retirement Age					
(in current $)	55	57	59	61	63	65

$35,000	$3,810	$0	$0	$0	$0	$0
$40,000	$14,892	$1,692	$0	$0	$0	$0
$45,000	$25,980	$9,096	$0	$0	$0	$0
$50,000	$37,236	$16,244	$4,562	$0	$0	$0
$55,000	$49,199	$24,585	$11,079	$908	$0	$0
$60,000	$63,484	$34,908	$19,265	$7,467	$0	$0

Schedule 3 gives the Carters a good understanding of how much they would have to save each year to reach their retirement objective.

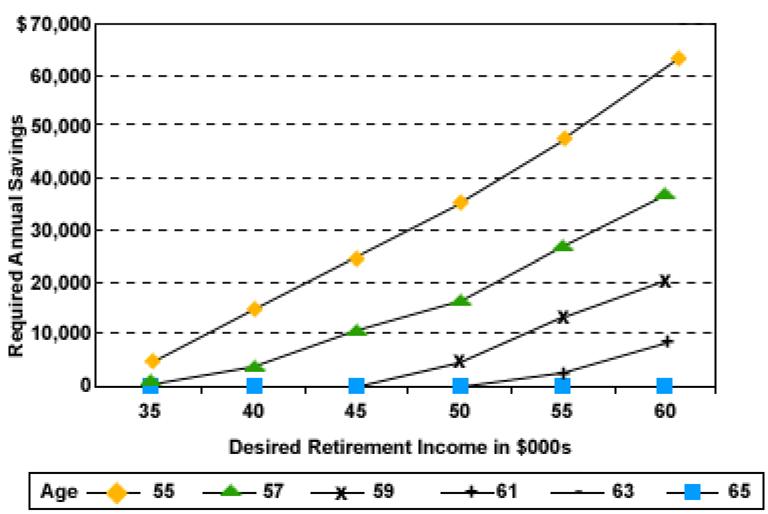
If they want to retire when Don turns age 55, with an income equivalent to $50,000 per year, they would have to save $37,236 every year until Don turns age 55, in addition to the maximum allowable contributions to their RRSPs. This is the cost of the Carters achieving their dream of retiring at age 55 with a retirement income of $50,000 per year.

If they postpone that retirement date by two years to age 57, they must save $16,244 per year, which is about $20,000 per year less than the amount required to retire at age 55.

If they postpone that retirement date by two more years to age 59, they must save $4,562 per year, which is about $33,000 per year less than the amount required to retire at age 55.

To more clearly demonstrate the relationship between retirement income, retirement age, and required savings, the data from Schedule 3 is presented in the following graph.

Retirement Age, Retirement Income and Required Annual Savings



This graph illustrates a number of important trends. The most obvious is of course that, regardless of the targeted retirement income, the earlier the retirement age, the more that must be saved each year until retirement.

If the Carters choose to retire earlier:

- Don will accumulate fewer pension credits and Elise will contribute less to her defined contribution pension plan, resulting in reduced pension benefits.
- Don and Elise will contribute less to their RRSPs.
- The Carters will have fewer years during which they can accumulate savings to supplement the savings in their registered plans and thus the amount saved each year must increase just to accumulate the same capital.
- The Carters will have a greater number of years over which the retirement income must be provided and thus greater capital will be required.

- Their Preferred Choice
- After some reflection, the Carters decided that having a retirement income of $50,000 per year (indexed for inflation by 3% per year) was quite important to them. They also felt that the most that they could hope to save each year in addition to their RRSP contributions is about $5,000, once their mortgage is fully paid off. They will be able to retire when Don is 59 or 60 years of age.
- Therefore, they have instructed their retirement planner to prepare a retirement savings plan based on a retirement income of $50,000 per year, and retirement at the end of the year in which Don turns age 60. Click the icons below to view various schedules from this plan.

Schedule 4

Basic Assumptions

PDF File

Schedule 5

Advanced Assumptions

PDF File

Schedule 6

Defined Contribution Pension Plan

PDF File

Schedule 7

Locked-in Retirement Accounts

PDF File

Schedule 8

Saving Plan for Don Carter

PDF File

Schedule 9

Saving Plan for Elise

PDF File

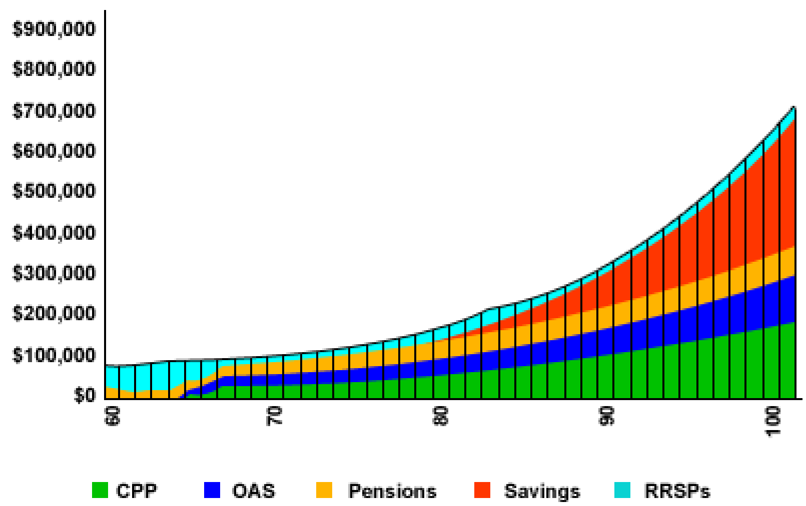
Sources and Uses of Funds

The following graphs illustrate the sources and uses of funds during the Carters' retirement. The projections are based on certain assumptions regarding inflation and investment returns. Obviously, the assumptions used are not certain to occur, and other events not reflected in the assumptions may occur.

Therefore, the Carters should be cautioned that the actual results may differ significantly from the projections.

The first graph, Sources of Funds during Retirement, suggests that during the first few years of retirement, the Carters will have to draw heavily on their personal savings to supplement their pension income because they will not begin receiving CPP and OAS benefits until age 65. The ages listed on the x-axis of the graph are based on Don's age.

Sources of Funds during Retirement Based on the Tax-Paid Capital Saved



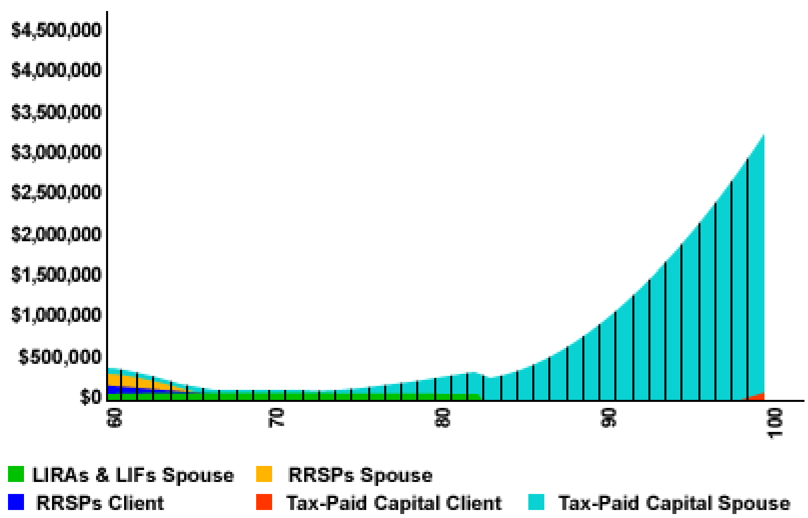
As shown in the second graph, Uses of Funds during Retirement, the Carters should use their tax-paid capital first before drawing from their RRSPs. This will maximize the tax-deferring benefits of the RRSPs. However, during their first year of retirement, the Carters will have exhausted their tax-paid capital, and will have to draw on their RRSPs. The Carters' tax burden will increase once they begin to draw funds from their RRSPs. The ages listed on the x-axis of the graph are based on Don's age.

Uses of Funds during Retirement Based on the Tax-Paid Capital Saved

By the end of the year in which Elise turns 71 years of age, Elise must transfer the funds currently held in her locked-in RRSP into a Life Income Fund (LIF), which is also a RRIF, and withdraw a prescribed minimum amount each year. In comparing the graphs for the sources and uses of funds, it is apparent that this minimum amount is not forcing the Carters to withdraw more than they need because the funds are being used to meet expenses and taxes.

By December 1st of the year in which Elise turns 80, she must use the remaining LIF funds to purchase an annuity. As a result, she begins to receive an annuity income and their total retirement income begins to exceed their combined expenses and taxes. As a result, the Carters begin to accumulate tax-paid capital once again, as shown in the graph below. The ages listed on the x-axis of the graph are based on Don's age.

Savings Beginning of the Year Based on the Tax-Paid Capital Saved



Conclusion

There are trade-offs between retirement age, savings prior to retirement, and retirement income. Choosing to retire earlier rather than later will result in a reduced retirement income for one or more of the following three main reasons:

- fewer pension credits are accumulated prior to retirement
- there is less time to save for retirement
- retirement income must be provided over a longer period of time

If an individual wants to retire earlier, he or she must either begin to save more towards retirement or he or she must accept the fact that he or she will have a reduced retirement income.

Choosing Retirement Benefit Options

Welcome to the lesson, Choosing Retirement Benefit Options.

Choosing Retirement Benefit Options

When an individual who is a vested member of his or her employer's pension plan ceases to work for that employer (whether through retirement, termination, or resignation), the individual will have to decide what to do with the vested pension benefits. Normally, there are two options:

- leave the funds in the pension plan and eventually draw a retirement pension
- transfer the commuted value of those benefits into a locked-in retirement account (LIRA)

In addition, individuals who are offered early retirement packages, in some instances, must decide between taking a pension and receiving a lump sum payout. Which option is best depends on the details and conditions of the retirement package, the individual's personal circumstances and his or her comfort level in managing their financial affairs.

Most individuals have difficulty comparing the options available to them because they do not have a clear understanding of the total value of the benefits arising from the options and the risks associated with each option. To varying degrees, employers may provide support and guidance (directly or by referring the employee to an external consultant) to help the employee select the most appropriate course of action.

Choosing the Pension Option

A normal retirement pension offers a guaranteed income for the life of the plan member and generally, the life of his or her spouse or common-law partner. Beyond the basic benefit, other options may also be provided. For example, to mitigate the impact of inflation, some plans offer mandated annual increases based on changes in the Consumer Price Index. In addition, retiring plan members may enjoy supplementary benefits like health-care, dental and life insurance for themselves and their dependants.

An individual will gain a better understanding of the terms and conditions of his or her retirement package by speaking to his or her employer and getting answers to questions that include:

- What is the pension income between now and age 65? What will it be after age 65? In plans that offer a level-income option (sometimes called a *bridging benefit*), the company's payments are enhanced up to age 65, then drop after age 65, when CPP/QPP benefits make up the difference.
- Does the pension plan have provisions for indexing related to the rate of inflation? What are the details of this indexing provision? If not, what is the plan's past record for increasing pension payments above the plan's required minimum or on an ad-hoc basis?
- Does the early retirement package include a severance package? If so, the early retirement package may be particularly generous in order to encourage people to retire.
- What is the projected tax situation of the individual and his or her spouse or common-law partner? Company pension income (up to a maximum of 50% per year) can be split with a spouse or common-law partner, potentially yielding significant tax savings. Annuity payments from RRIFs and RRSPs can also be split provided the pension transferor has attained age 65.
- What are the terms of the survivor benefits (i.e. 60%, 75% or 100% of monthly income)?
- What supplementary benefits is the company offering under both options (e.g. health-care, dental or life insurance)? Are any family members covered by these benefits?

When evaluating the pension option, an individual should not underestimate one of its most significant benefits: the peace of mind knowing that the individual and his or her spouse or common-law partner will receive a guaranteed, regular lifetime income in addition to supplementary benefits for the individual and his or her dependants. Also, choosing this option relieves the individual of the responsibilities associated with managing complex financial affairs.

Choosing the Lump sum Option

The lump sum payout option of an early retirement package can be significant: it is not unusual for the payout to be hundreds of thousands of dollars in the case of an employee with many years of pensionable service.

To arrive at the lump sum amount, specific interest rate assumptions are made by an administrator when he or she calculates the value of an individual's future pension benefits and converts that value into a lump sum. Retiring plan members may want to ask what these assumptions are. For example, a monthly pension income that is based on a 4% rate of return means that an individual who chooses the lump sum option must earn more than 4% every year for the rest of his or her life in order to be better off with the lump sum relative to the pension option.

The interest rate environment-presently and as projected for the future-is also an important consideration. How feasible is it to consistently generate a return higher than the interest rate assumption particularly, in a low-interest rate environment? A modest 1% to 2% variance in the rate of return over the lifetime of an individual may make a significant difference in the value of the lump sum.

The life expectancy of an individual must also be taken into account. An individual with a long-life expectancy may outlive the period over which the lump sum is meant to provide income payments. This can be a significant disadvantage of the lump sum option compared to the pension option which by comparison, guarantees a regular income for life.

Note also that the lump sum option may or may not offer supplementary medical, dental and life insurance benefits. Similarly, future ad-hoc adjustments for inflation to which a retiree might be entitled under the pension option may or may not be reflected in the lump sum settlement value.

On the other hand, the lump sum option may be attractive to those who wish to leave an inheritance if they die before age 80 (i.e. the age by which some LIFs must be converted to a life annuity in certain jurisdictions). LRIFs need not be converted to an annuity and therefore, always offer the possibility of leaving an estate.

Considerations for the Lump sum Options

A lump-sum payout may consist of two portions: a locked-in amount and a non-locked-in amount. It may be possible to shelter a portion of the lump sum from income tax; the balance of the lump sum must be included as income in the year it is received with tax payable at the individual's marginal tax rate. Obviously, this can dramatically reduce the lump sum payout and the actual benefit to the individual.

Locked-in portion

One portion of the lump sum must be transferred to a locked-in plan—either a locked-in RRSP (LIRA), a LIF, an LRIF (if allowed under the applicable pension legislation) or a life annuity. This amount represents the commuted value of the accrued pension benefits. The calculations that actuaries use to arrive at this value are complex and are subject to pension legislation. Transfers to locked-in plans are done so without triggering immediate tax implications. However, withdrawals from locked-in plans are taxable at the individual's marginal tax rate in the year of withdrawal. Note that legislation also sets limits on withdrawals from locked-in plans, which may result in a lower income in the early years of retirement than that offered by the pension option.

Non-locked-in portion

There are different options for the non-locked-in portion of the lump sum payout. The individual may receive this money in cash however, this amount must be reported as income in the year it is received and may be subject to tax. One must be mindful that this income inclusion may move the individual into a higher marginal tax bracket for that year. In addition, a higher income may serve to reduce or eliminate some government benefits or income-tested tax credits in that year or in a subsequent year.

As an alternative to the cash option, the individual could contribute all or some of the non-locked-in amount to an RRSP (or a spousal RRSP) subject to available contribution room.

Personal circumstances

The personal circumstances of the individual are a key determinant in evaluating early retirement options. Specific considerations should include:

- desired retirement lifestyle
- other sources of retirement income
- possible plans for part-time or full-time employment
- marital status of the individual and the individual's spouse or common-law partner's age, income, job security and pension entitlements
- life expectancy of the individual and his or her spouse or common-law partner
- desire to leave an estate and anticipated gifts or inheritances
- financial needs of dependants (e.g., education)
- debt obligations (e.g., mortgage, personal line of credit)
- other assets that may provide future income (e.g., rental property, non-registered investments)
- other goals and objectives
- the individual's comfort level with managing his or her own investments

Among the most important financial decisions an individual will face in his or her lifetime are choices affecting retirement. A thorough understanding of the issues and their impact on long-term cash flows will help an individual make the best possible decisions for his or her particular circumstances.

Case Study: Carl Michelos

The remainder of this lesson involves a case study depicting the situation of Carl Michelos. It is designed to illustrate the types of analyses that might be performed by a retirement planner for a client who is about to retire.

Carl Michelos: overview of retirement circumstances

It is January 1st. Carl Michelos, who is widowed, is about to turn 65 years of age. He is planning to retire from his current position, effective January 21st. Carl joined ABC Products Inc., a mid-sized manufacturing firm, on January 12, 1972; he is employed as a general manager. Throughout his period of employment, he has been a member of ABC's pension plan and as a result he has accumulated a significant pension entitlement.

Carl has been given the following choices:

i. accept a pension of $42,000 per year, indexed for inflation by 4% per year *or*

i. take the commuted value of his pension—amounting to $475,000—and allocate it as follows:

- transfer $390,000 to a locked-in retirement account *and*
- receive a non-locked amount of $85,000 as income. As he has sufficient RRSP contribution room, Carl can transfer the non locked-in amount to his regular RRSP.

He has also been awarded a retirement allowance of $75,000 to be paid in recognition of his long service, excellent leadership, and strong commitment to ABC.

Schedule 10 Basic Assumptions shows the basic assumptions for Carl's retirement plan. Click the icon to view Schedule 10.

Prior to working for ABC, Carl worked for the XYZ Corporation for about five years. He was also a member of XYZ's pension plan for the duration of his employment there. When he left XYZ, his vested pension benefits remained in the pension plan. Carl now has the option of either accepting an annuity that will provide him with a non-indexed income of $14,250 at the end of each year or receiving a lump-sum of $81,750, which he could transfer into an RRSP.

Although Carl is retiring from ABC Products Inc., he is not yet ready to leave the work force entirely. He plans to work on a part-time consulting basis until he turns 70. He expects that his income over that period will be as follows:

Age	Income
65	$80,000
66	$80,000
67	$60,000
68	$60,000
69	$60,000

Carl currently has $94,000 invested in RRSPs and $297,000 in tax-paid capital. He has assumed that the RRSPs will continue to earn a return of 8%, and that the tax-paid capital will earn a pre-tax return of 8%. He intends to contribute the maximum allowable amount of 18% of his earned income to RRSPs as long as he is working. For the current year, he can contribute $5,400 based on his past year's income and pension adjustment.

Whatever his course of action, Carl would like his planning horizon to extend until he is at least 90 years of age. He also wants to be able to maintain lifestyle expenditures of $60,000 per year with inflation protection of 3%.

The Questions

Carl is faced with a number of retirement questions and decisions:

- How much of his retiring allowance should, or can, he roll over into his RRSP?
- With respect to the XYZ Corporation, should he accept the annuity or the commuted lump-sum payment?
- With respect to ABC Products Inc., should he accept the pension or should he transfer the funds into a combination of LIRAs and RRSPs?

The answers to Carl's first two questions are relatively straightforward, while the third is a bit more complex. The following pages outline the way a retirement planner might approach the questions.

Retiring Allowance

Carl will benefit by rolling over as much of the retiring allowance as possible into an RRSP in order to minimize his current tax burden.

An individual who receives a retiring allowance can roll over a portion or all of that allowance into an RRSP, subject to:

- a limit of $2,000 for each year of service before 1996
  plus
- an additional $1,500 for each year of service before 1989 during which he earned no vested pension or deferred profit sharing plan benefits

Throughout his service with ABC Products Inc., Carl has been a member of the company pension plan, so the additional roll over amount of $1,500 per year of service prior to 1989 does not apply. Carl worked for 24 years prior to 1996, calculated as (1995 – 1972 + 1). Thus, Carl may roll over $48,000 into an RRSP, calculated as (rollover amount per year x # of years of service prior to 1989) or ($2,000 × 24). He must take the remaining $27,000, calculated as ($75,000 – $48,000), as taxable income.

The Pension from ABC Products Inc.

Before we begin this final analysis, we will assume that Carl will follow the recommendations made earlier, meaning that in addition to the basic facts stated earlier, we can assume that, effective January 21st

- He will increase his RRSP holdings by $48,000 when he rolls over his retiring allowance.
- His taxable income for the current year will increase by $27,000, the amount of the retiring allowance that he cannot rollover into his RRSP.
- He will receive annuity income of $14,250 per year, without indexation.

Carl's retirement planner would likely approach this problem by projecting the income and remaining savings for both scenarios (for example, accepting the pension or transferring the commuted value to a combination of LIRAs and RRSPs), using retirement planning software.

Schedule 11 Projections of Retirement Incomes, Pension Option provides a summary projection of Carl's income if he decided to opt for the pension provided by ABC Products Inc. Click the icon to view Schedule 11.

If Carl opts for the pension, his income in the current year will be so high that, even after paying $74,246 or 38.41%, calculated as ($74,246 ÷ $193,318) in taxes, his after-tax income will exceed his expenditures by $59,073 (the amount shown as Capital from other savings). In addition, Carl does not need the supplemental income that would be provided by the ABC pension during his initial period of retirement, largely as a result of his intention to keep working on a contractual basis until he turns 70.

Summary of Assumptions

The assumptions for the LIRA option are summarized in Schedule 12 Basic Assumptions for Retirement Plan. Click the icon below to view Schedule 12.

In contrast, Schedule 13 Projection of Retirement Income projects Carl's income should he decide to transfer the commuted value of the pension benefits into a combination of RRSPs and LIRAs. Click the icon below to view Schedule 13.

Under the commutation option, there is no shortfall in the first 42 years of retirement. Under the pension option, there is no shortfall in the first 42 years of retirement. So, in terms of providing his target retirement income, Carl could take the pension option or commute the pension.

However, the lump-sum commutation option gives Carl greater control over his money, in that he can choose to withdraw funds from his RRSPs as he needs them. In contrast, the pension would provide him with a steady income, even in years when he might not need the pension income.

The lump-sum option has estate preservation advantages during the first 25 years or so of retirement. For example, when Carl is 77 years old, twelve years after retirement, Carl would have total savings of $1,435,777, under the lump-sum option, versus $937,346, under the pension option. In addition, because Carl does not have a wife or partner, the pension would have no value upon his death because it would not pay a survivor's pension.

Working with a Retirement Planner

If Carl did seek the advice of a retirement planner before making his decisions, he would likely go through the following process:

- compile all of the relevant background information, including copies of the offers from the pension providers
- meet with the retirement planner to discuss his retirement objectives, and to outline the decisions that he wants advice about
- request and sign a letter of engagement from the planner, outlining the specifics of the engagement and the fee to be charged
- review the report from the planner and possibly meet to review any outstanding questions or concerns
- notify his employer or pension administrator about his decision

Review

Let's look at the concepts covered in this unit:

- Choosing the Age of Retirement
- Choosing Retirement Benefit Options

You should now have a good understanding of Retirement Decisions concepts and when you are ready, you can complete the formal assessment.

Formal Assessment

Now that you have completed Retirement Decisions, you are ready to assess your knowledge.

You will be asked a series of questions. When you have finished answering the questions, click Submit to see your score.

When you are ready to start, click the Go to Assessment link.

Note: Once you submit your answers to the assessment questions for grading, you will no longer be able to view the questions and the possible responses in their original format (you will only see the feedback for each question). If you want to use the assessment questions for study purposes at a later date, print the questions *before* you submit them for grading.

Go to Assessment

Review the Course Learning Objectives

Course Learning Objectives

- Financial Services Marketplace
- Economics
- Ethical Practices and Professional Conduct
- Strategic Investment Planning
- Investments
- Investments and Financial Planning

- Retirement Planning and Government Income Programs
- Employer-sponsored Pension Plans
- RRSPs and TFSAs
- Retirement Decisions

Each of the course learning objectives are part of the performance expected of you as a financial advisor.

Reading through the list helps you remember the content of the lessons. But in order to improve your skills there is more to it than that.

Follow these steps:

1. Review each of the learning objectives one at a time.
2. Ask yourself if you can achieve it.
3. If you are confident, move on to the next one.
4. If you are not sure, either mark it for review, and navigate to the content later.

If you recognize that there is a learning need associated with the learning objective, then go back to that content and do the exercises again.